



called the emotionally difficult path. Actually, this path is very straightforward. Simply work out a long-term investment policy that is right for you and be committed to it. This is how you do it. When your friends or your broker tell you about a great investment opportunity and they say it is a great time to buy, don't buy. When the newspapers report big investment opportunities, be wary of such news. When your neighbours tell of how the stock markets have made them rich in the last couple of months, don't be tempted. When your banker offers credit facility against your shares to buy more shares, stay calm and unconcerned.

When analysts on TV tell you that the market is going to crash and that stock prices will nose dive, don't sell. When newspapers report a bear phase and tell you to liquidate your portfolio, don't sell. When your neighbours exit the stock markets, don't follow them. When your broker tells you to sell as he sees bad times ahead, do not listen to his advice and sell. Emotional discipline is the most difficult. It is not easy to control your emotions and go against the herd. But you need to believe in yourself and the investment policy to which you are committed. It often pays to go against popular opinion. The emotionally difficult path like the intellectually difficult path lays stress on the virtue of patience. Both are based on the view that the long-term approach to investments is the only strategy that can enrich investors and increase their wealth. The stress is on the cash flow approach. Patience focuses an investor's attention on the goal of compounding money over a long period. It can be magic even when the rate is modest. To give an example: If one were to compound money at a modest rate of seven per cent the money would double at the end of 10 years and it would be 16 times at the end of 40 years. Patience also helps you to control transaction costs. The more you churn your portfolio the more you pay the broker in terms of brokerage and off course the government in terms of taxes on your capital gains. Then you also have costs like depository charges, transaction tax and service tax. All these costs could be avoided if one has patience.

The emotionally difficult path requires an understanding of how our emotions guide our decision-making especially when we deal with money. Our emotions directly affect our decisions on